

SOP Manual — Food & Hospitality Franchise (India)

Oct 6, 2026 · @AP

Scope, franchise models and roles

This manual governs the relationship between a franchisor (the brand) and its franchisees for restaurants, QSRs, cafés, bars and hotels in India. Store-level operations follow the matching manual (Restaurant, QSR, Bar, Hotel, Cloud Kitchen); this manual covers what franchising adds: selection, development, standards, supply, money, support and exit.

Model	Who owns the store	Who operates it	Typical use
FOFO — franchise-owned, franchise-operated	Franchisee	Franchisee	Most common in Indian QSR, café and casual dining
FOCO — franchise-owned, company-operated	Franchisee (investor)	Franchisor, for a management fee and revenue share	Investors without operating skill; brand keeps quality control
COCO — company-owned, company-operated	Franchisor	Franchisor	Flagship and training stores (see QSR manual)
COFO — company-owned, franchise-operated	Franchisor	Franchisee	Brand controls real estate, operator runs the business
Master franchise / area developer	Master franchisee for a region	Master sub-franchises or opens a committed number of units	Entering a new state or country
Hotel management contract / franchise	Owner	Brand (management contract) or owner under brand standards (franchise)	Hotel chains

RACI: **R** does the work · **A** signs off (one per task) · **C** consulted before · **I** informed after.

Code	Role	Side
FD	Franchise Development Head	Franchisor
FBP	Franchise Business Partner / Field Consultant	Franchisor
OPS	Head of Operations / Brand Standards	Franchisor
QA	Quality Assurance and Food Safety	Franchisor
PRJ	Projects / Store Development	Franchisor
SCM	Supply Chain	Franchisor
MKT	Marketing	Franchisor
TRN	Training	Franchisor
FIN	Finance / Royalty Accounting	Franchisor
LEG	Legal	Franchisor
FR	Franchisee (owner / partner)	Franchisee
FSM	Franchisee's Store Manager	Franchisee

Legal and tax framework

India has no dedicated franchise statute or mandatory pre-sale disclosure law, so the franchise agreement carries the whole relationship; it is governed by the Contract Act, Trade Marks Act, Competition Act, FEMA, the Income-tax Act and GST ([ATB Legal](#), [Treelife](#)).

Area	Rule that shapes the SOPs	Owner
Agreement	Indian Contract Act 1872; post-term non-competes are usually unenforceable under Section 27, so protect know-how through confidentiality and IP clauses instead	LEG
Trademark	Register the brand marks in the relevant classes (for example 43 for restaurant services); licence to the franchisee in writing; record the licence with the Trade Marks Registry where advisable	LEG

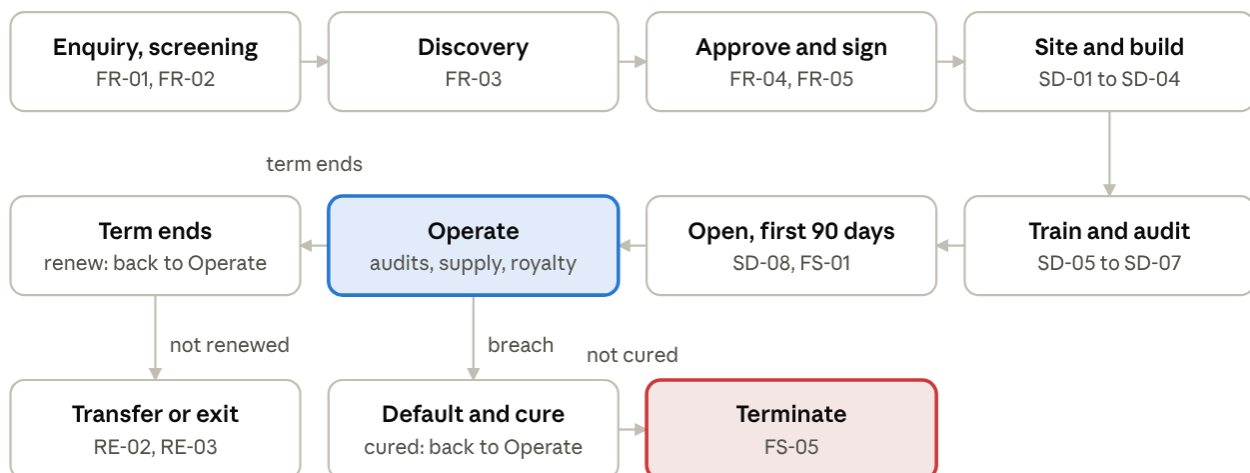
Area	Rule that shapes the SOPs	Owner
Competition	Competition Act 2002: avoid resale price maintenance (suggest, do not force, prices unless justified), unreasonable exclusive supply or territorial restraints	LEG
GST	Franchise fee and royalty taxed at 18% (Taxscan); marketing, training and tech fees also 18%; goods supplied by the franchisor at their product rate	FIN
TDS	Franchisee deducts TDS on royalty and fees paid to a resident franchisor (10% under Section 194J of the 1961 Act); confirm the section under the Income-tax Act 2025 for payments from 1 April 2026; withholding on payments to a foreign franchisor	FR, FIN
Foreign franchisor	Royalty and fee remittances under the FEMA automatic route; withholding tax at treaty rates	FIN, LEG
Consumer protection	Consumer Protection Act 2019 applies to both parties' dealings with guests; service-charge rules apply to every franchised store	OPS
Store licences	The franchisee holds all store licences (FSSAI, Shops & Establishments, fire, excise) in its own name; the franchisor verifies them	FR, OPS
Data	Guest data from loyalty apps and POS: define in the agreement who is the Data Fiduciary and who is the Processor under the DPDP Act	LEG, IT
Labour	Franchisee is the employer of its staff under the Labour Codes; the franchisor must avoid control that makes it a joint employer	LEG

Franchise disclosure pack (good practice). Although no law requires it, give each candidate before signing: brand history, unit economics of existing stores (with assumptions), total investment range, all fees, support provided, supply obligations, litigation history, list of current and closed franchisees, and a sample agreement. Keep a signed acknowledgement.

Franchise lifecycle at a glance

Each stage below has its own SOPs in this manual; the codes in the boxes point to them.

Six stages to opening, then a loop until renewal, exit or termination



franchise lifecycle · 6 stages to opening, 3 ways out

A store spends most of its life in Operate; it leaves that loop only through a breach that is not cured, or at the end of its term.

Franchisee recruitment and selection (FR)

The franchisor selects partners on capital, operating commitment and character, and signs nobody who has not seen the disclosure pack and worked a shift in a live store.

FR-01 Enquiry handling. Log every enquiry in the CRM within 24 hours; send the brand brochure and application form; qualify on liquid capital, net worth, location, prior business experience and time commitment.

FR-02 Screening.

1. Application scored against the franchisee profile (minimum capital, operator involvement, local market knowledge).
2. First meeting with FD (video or in person).
3. Background checks: identity, credit report, litigation search, references; KYC under anti-money-laundering good practice.

FR-03 Discovery. Candidate gets the disclosure pack; visits head office; works at least 2 shifts in a company store; meets 2–3 existing franchisees without the franchisor present.

FR-04 Approval. Franchise committee (FD, OPS, FIN, LEG) approves or rejects in writing with reasons; letter of intent with a refundable or partly refundable booking amount and a site-search deadline (for example 90 days).

FR-05 Agreement signing. Agreement plus annexures (operations manual reference, fee schedule, territory map, approved supplier list, data processing terms); stamp duty paid per state; signed by authorised signatories; original stored by LEG.

RACI — Recruitment

Activity	FD	OPS	FIN	LEG	FR
Enquiry and qualification	A/R	–	–	–	C
Screening and background checks	A	–	R	R	C
Discovery visits	A	R	–	–	R
Disclosure pack	R	C	C	A	I
Approval decision	A	R	R	R	I
Agreement signing	R	I	C	A	R

Site approval, store development and pre-opening (SD)

The franchisee funds and builds the store; the franchisor approves the site, the drawings and the readiness to open, and can stop any one of them.

SD-01 Site search and approval. Franchisee proposes sites; FD and PRJ assess footfall, catchment, visibility, competition, rent-to-projected-sales ratio, power and water, and legal title; site approved in writing before the lease is signed.

SD-02 Lease review. LEG checks the lease for term at least equal to the franchise term, lock-in, permitted use (food service, liquor if needed), signage rights, exhaust and gas permissions, and assignment to the franchisor on termination where agreed.

SD-03 Design and fit-out. PRJ issues the standard layout and specification; franchisee's contractor builds to it; approved equipment vendors only; PRJ inspects at shell handover, mid-fit-out and completion; snag list closed before opening.

SD-04 Licences. Franchisee applies for all licences in its own name; FBP tracks progress; no opening without FSSAI, Shops & Establishments, fire NOC (where needed), trade licence and GST registration in hand.

SD-05 Pre-opening training. Franchisee and store manager complete the franchisor's certification course (often 4–8 weeks); crew trained by the franchisor's opening team; FoSTaC supervisors certified.

SD-06 Systems setup. POS, inventory, aggregator integration and reporting connected to the franchisor's systems so sales data flows automatically (needed for royalty).

SD-07 Opening readiness audit. OPS checklist covering brand standards, food safety, licences, staffing, stock, systems; must pass before the franchisor issues the written permission to open.

SD-08 Opening support. Franchisor opening team on site for the first 7–14 days; 30-, 60- and 90-day reviews.

RACI — Store development

Activity	FD	PRJ	OPS	TRN	LEG	FBP	FR
Site approval	A	R	C	–	C	C	R
Lease review	I	C	–	–	A/R	–	R
Design and fit-out	I	A	C	–	–	I	R
Licences	–	C	C	–	C	R	A/R
Pre-opening training	–	–	C	A/R	–	C	R
Systems setup	–	C	A	–	–	R	R
Readiness audit	I	C	A/R	C	–	R	R
Opening support	I	–	A	R	–	R	R

Brand standards and operations compliance (BS)

The operations manual (the store-type SOP manual plus brand annexures) is a binding part of the franchise agreement, and every franchised store is audited against it on the same scorecard as company stores.

BS-01 Operations manual control. OPS owns the master manual; franchisees get controlled access (online portal); changes issued with a version number, effective date and training note; franchisee confirms receipt within 7 days.

BS-02 Non-negotiables. Defined list whose breach is a material default: food safety critical limits, approved suppliers only, recipe and portion specs, brand identity (logo, signage, uniforms), pricing within the agreed band, no unapproved menu items, licences valid, guest data handled per policy.

BS-03 Audits.

Audit	Frequency	Done by
Self-audit	Weekly	FSM
Field visit	Monthly	FBP

Audit	Frequency	Done by
Brand standards and food safety audit	Quarterly, unannounced	OPS / QA or third party
Mystery guest	Monthly or quarterly	Agency

BS-04 Audit outcomes. Score $\geq 85\%$: pass. 70–84%: corrective action plan within 7 days, re-audit in 30 days. $< 70\%$ or any critical food safety failure: written notice, re-audit within 14 days; repeated failure moves to the default process (FS-04).

BS-05 Guest complaints. Central complaint line and email; complaints routed to the franchisee within 4 hours; closure within 48 hours; franchisor tracks complaints per 1,000 orders by store.

BS-06 Innovation and local changes. Franchisees may propose local menu items or promotions in writing; OPS, QA and MKT approve or decline within 21 days.

RACI — Brand standards

Activity	OPS	QA	FBP	MKT	FR	FSM
Manual updates	A/R	C	I	C	I	I
Non-negotiables compliance	A	C	R	–	R	R
Self-audit	I	–	C	–	A	R
Field visit	C	–	A/R	–	R	R
Quarterly audit	A	R	I	–	I	R
Corrective action plan	A	C	R	–	R	R
Guest complaints	A	C	R	–	R	R
Local menu proposal	A	R	C	R	R	–

Supply chain and approved vendors (SC)

Franchisees buy brand-critical items (proprietary sauces, spice blends, packaging with the brand mark) only from the franchisor or its approved vendors, and everything else from any vendor that meets the published specification.

SC-01 Approved supplier list. SCM and QA publish the list with item, specification, approved vendors and price basis; reviewed every 6 months; a franchisee can nominate an alternative vendor, and QA evaluates it within 30 days against the specification.

SC-02 Ordering. Franchisee orders through the franchisor's portal or directly with approved vendors by the cut-off; minimum order quantities and delivery schedules published.

SC-03 Pricing transparency. Any markup or rebate the franchisor earns on supplies is disclosed in the agreement or disclosure pack (competition-law and trust issue).

SC-04 Quality and recalls. QA's hold and recall notices (see QSR manual, IN-02) bind franchisees; franchisee confirms quarantine within 1 hour; credit given for recalled stock.

SC-05 Audit of purchases. FBP compares the store's purchases of mandatory items to sales; a gap suggests unapproved sourcing and triggers a review.

RACI — Supply

Activity	SCM	QA	FBP	FIN	FR
Approved supplier list	A/R	R	I	C	I
Alternative vendor review	R	A	–	–	R
Ordering	C	–	I	–	A/R
Markup disclosure	C	–	–	R	I
Recall compliance	R	A	R	–	R
Purchase-to-sales audit	C	–	A/R	C	C

Fees, royalty, reporting and audit (FE)

Royalty is calculated from POS data the franchisor can see directly, invoiced monthly with 18% GST, and the franchisee deducts TDS and issues the certificate.

Fee	Typical basis (set in your agreement)	GST
Initial franchise fee	One-time, per store or per territory	18%
Royalty	4–8% of net sales (ex-GST), monthly; sometimes with a minimum	18%
Marketing fund	1–3% of net sales	18%
Technology fee	Per store per month (POS, app, reporting)	18%
Training / opening support	Per course or per opening	18%
Renewal and transfer fees	Fixed or % of initial fee	18%

FE-01 Sales reporting. POS syncs daily; franchisee confirms monthly sales by the 3rd working day; aggregator sales included per the agreement's definition of net sales.

FE-02 Invoicing. FIN raises the royalty and marketing fund invoice by the 5th with GST; payment due by the 10th (or per agreement) by bank transfer or auto-debit.

FE-03 TDS. Franchisee deducts TDS on royalty and fees as the Income-tax Act requires, deposits it by the due date and issues the TDS certificate each quarter.

FE-04 Late payment. Reminder on day 1 overdue; interest per agreement from day 15; supply hold from day 30 after notice; default notice from day 45.

FE-05 Royalty audit. FIN can audit the franchisee's books on notice (typically once a year); under-reporting above 2% is charged back with interest and the audit cost.

FE-06 Franchisee financial health. Franchisee shares a monthly store P&L; FBP reviews and flags stores below break-even for support.

RACI — Fees and reporting

Activity	FIN	FBP	LEG	FR
Sales reporting	C	I	–	A/R
Royalty invoicing	A/R	I	–	I
Payment and TDS	C	I	–	A/R
Late payment escalation	A/R	R	C	I
Royalty audit	A/R	C	C	R
Store P&L review	C	A/R	–	R

Marketing fund and local marketing (MF)

The marketing fund is held separately from the franchisor's own money, spent on brand-building that benefits all stores, and reported to franchisees every quarter.

MF-01 Fund governance. Separate ledger or bank account; annual marketing plan shared with a franchisee advisory council; quarterly report of contributions and spend by channel; unspent balance carried forward.

MF-02 National campaigns. MKT plans campaigns, offers and menu launches; franchisees get the calendar 30 days ahead with point-of-sale material and digital assets; participation in national offers is mandatory where the agreement says so.

MF-03 Local store marketing. Franchisee spends a minimum (for example 1% of sales) on local activity; brand assets only from the approved library; all local ads approved by MKT within 3 working days.

MF-04 Social media and listings. Store pages created and owned by the franchisor; franchisee gets posting rights within guidelines; review replies follow the brand's tone guide.

MF-05 Customer data. Loyalty and CRM data owned as defined in the agreement; franchisee uses it only for the brand's purposes and with consent.

RACI — Marketing

Activity	MKT	FIN	FBP	FR
Fund governance and reporting	R	A	–	I
National campaigns	A/R	C	I	R
Local marketing approval	A	–	C	R
Social media and listings	A	–	–	R
Customer data use	A	–	C	R

Field support, performance management, default and termination (FS)

The franchisor coaches before it penalises: every default goes through a written, time-bound cure process before termination is considered.

FS-01 Field support visits. FBP visits each store at least monthly (weekly in the first 90 days): operations walk, coaching, P&L review, local marketing ideas, training needs; visit report shared with the franchisee within 48 hours.

FS-02 Franchisee business reviews. Quarterly review with the franchisee owner: scorecard (sales, audit, guest score, complaints, royalty payment record), growth plans, support needed.

FS-03 Support escalation. Franchisee raises issues through a ticketing system; response within 2 working days; unresolved issues escalate to OPS, then to the COO.

FS-04 Default process.

1. **Identify:** material breach (non-negotiable breach, failed audits, unpaid fees over 45 days, licence lapse, brand damage).

2. **Notice:** LEG issues a written default notice stating the breach, the cure required and the cure period (typically 15–30 days; immediate for food safety risks).
3. **Cure support:** FBP agrees an action plan; re-audit or payment check at the end of the period.
4. **Decision:** cured → closed in writing; not cured → second notice or termination as the agreement allows.
5. **Immediate measures:** for serious food safety or legal risk, the franchisor may require temporary closure until fixed.

FS-05 Termination. Approved by the COO and LEG; written termination notice; de-identification within the agreed period (signage, uniforms, packaging, digital listings removed); final account settled; access to systems revoked; option for the franchisor to buy assets or take over the lease where the agreement allows.

FS-06 Dispute resolution. Negotiation between senior management for 30 days, then mediation, then arbitration under the Arbitration and Conciliation Act 1996 at the seat named in the agreement.

RACI — Support and default

Activity	COO	OPS	FBP	FIN	LEG	FR
Field visits	–	A	R	–	–	R
Quarterly business review	I	A	R	C	–	R
Support tickets	–	A	R	C	–	R
Default notice	I	C	R	C	A/R	I
Cure plan and re-check	–	A	R	C	C	R
Termination	A	R	C	R	R	I
De-identification	–	A	R	–	C	R
Dispute resolution	A	C	–	C	R	R

Renewal, transfer, exit and compliance calendar (RE)

A franchise term ends in one of three ways — renewal, transfer to an approved buyer, or exit — and each starts at least 6 months before expiry.

RE-01 Renewal. At 12 months before expiry, FBP reviews the franchisee's record; at 9 months, the franchisee applies; renewal conditions (refurbishment to the current design, renewal fee, no outstanding defaults) agreed in writing by 6 months; new agreement signed before expiry.

RE-02 Transfer. Franchisee notifies intent to sell; buyer goes through the full selection process (FR-02 to FR-04); franchisor may hold a right of first refusal; transfer fee paid; buyer completes training; all dues cleared before transfer.

RE-03 Exit on expiry. Final audit; de-identification within the agreed period; return of manuals, materials and confidential information; final settlement; exit interview.

RACI — Renewal and exit

Activity	FD	OPS	FIN	LEG	FBP	FR
Renewal review and decision	A	R	C	C	R	R
Renewal agreement	C	-	C	A/R	-	R
Transfer approval	A	C	C	R	C	R
Exit and de-identification	I	A	R	C	R	R

Compliance calendar

Frequency	Task	Owner
Monthly	Sales confirmation, royalty invoice and payment, field visit, mystery guest	FR, FIN, FBP
Quarterly	Brand standards audit, business review, TDS certificates, marketing fund report	OPS, FR, MKT
Every 6 months	Approved supplier list review	SCM, QA
Annually	Royalty audit (where scheduled), operations manual review, franchisee advisory council, store licence renewals check, trademark portfolio check	FIN, OPS, LEG
12 months before expiry	Renewal review starts	FD

Sources

- [ATB Legal — franchising in India](#)
- [Treelife — franchise agreement review](#)
- [Taxscan — Gujarat AAR on GST on franchise fees and royalty](#)

Operational guidance only, not legal or tax advice; have the franchise agreement and fee structure reviewed by counsel.